CAPITAL IMPROVEMENT PLAN

Cedar Whitaker Rental Homes | Naperville, IL

Property	Cedar Whitaker Rental Homes
Plan Date	May 29, 2024
Prepared For	Sunbelt Ridge Acquisitions
Total Plan Budget	$123,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Energy	05/19/25	Q3 2025	$103,000	$48,980	Deferred
Water heater replacement	Building	02/27/25	Q3 2027	$135,000	$134,833	In progress
Sewer line repair	Interior	07/15/23	Q2 2026	$551,000	$159,421	Complete
ADA compliance	Building	12/11/25	Q4 2025	$297,000	$250,030	Approved
Parking lot resurfacing	Building	03/19/23	Q2 2026	$751,000	$278,116	Approved
Fence replacement	Interior	08/07/25	Q3 2026	$324,000	$220,437	Bidding
Amenity renovation	Energy	07/03/24	Q4 2027	$682,000	$613,768	Complete
Signage / monument	Life Safety	07/16/23	Q4 2025	$462,000	$266,526	Bidding
Security camera upgrade	Interior	10/10/25	Q4 2027	$330,000	$340,519	Bidding
Fence replacement	Site	01/17/24	Q4 2025	$243,000	$254,855	Approved
Amenity renovation	Interior	11/16/24	Q3 2026	$827,000	$845,701	Approved
Storefront glazing	Building	10/02/24	Q1 2027	$184,000	$159,761	In progress
Unit interior upgrades	Site	01/22/23	Q4 2027	$694,000	$75,231	In progress
Parking lot resurfacing	Site	08/09/25	Q4 2027	$681,000	$275,789	In progress
Lobby renovation	Life Safety	08/28/25	Q1 2025	$794,000	$479,222	Approved
Exterior paint	Building	10/23/23	Q3 2026	$741,000	$539,276	Deferred
Roof replacement - Bldg A	Interior	02/15/25	Q1 2026	$599,000	$439,584	Deferred
HVAC replacement	Life Safety	07/11/25	Q4 2025	$763,000	$377,848	Deferred
Fence replacement	Energy	11/17/25	Q4 2027	$386,000	$30,519	Approved
Signage / monument	Life Safety	04/07/23	Q3 2026	$19,000	$2,583	In progress
ADA compliance	Interior	07/11/24	Q2 2025	$580,000	$274,615	Complete
Door hardware	Building	09/28/25	Q3 2026	$143,000	$138,742	Complete
Fire alarm panel upgrade	Building	08/20/23	Q1 2025	$644,000	$276,171	Bidding

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Water heater replacement	Energy	11/20/24	Q4 2025	$122,000	$100,680	Complete
Fire alarm panel upgrade	Interior	02/14/23	Q4 2026	$17,000	$266	Complete
Sewer line repair	Energy	11/04/25	Q3 2025	$115,000	$101,969	Complete
Security camera upgrade	Interior	09/26/23	Q1 2026	$624,000	$285,044	Complete
Elevator modernization	Interior	01/10/24	Q3 2027	$389,000	$144,695	Deferred
Pool resurfacing	Site	05/15/23	Q2 2027	$579,000	$461,541	Deferred
LED lighting retrofit	Building	01/03/24	Q3 2026	$847,000	$841,654	In progress
Fence replacement	Life Safety	06/27/26	Q4 2027	$62,000	$5,545	Approved
Sewer line repair	Energy	07/09/25	Q2 2026	$218,000	$36,972	Deferred
Landscape / irrigation	Life Safety	03/21/23	Q3 2025	$339,000	$312,137	Bidding
Unit interior upgrades	Interior	06/01/26	Q1 2027	$682,000	$557,028	In progress
Fire alarm panel upgrade	Building	06/16/26	Q4 2025	$170,000	$34,489	In progress
Security camera upgrade	Interior	11/21/24	Q2 2025	$508,000	$70,384	Approved
Water heater replacement	Life Safety	10/18/26	Q1 2025	$397,000	$153,025	Bidding
Landscape / irrigation	Interior	03/22/26	Q4 2025	$582,000	$536,349	Bidding
Fence replacement	Site	11/05/25	Q3 2025	$892,000	$456,928	Bidding
Storefront glazing	Interior	11/11/25	Q4 2026	$629,000	$527,244	Complete
Fence replacement	Interior	11/15/23	Q1 2025	$700,000	$371,966	In progress
Exterior paint	Life Safety	06/03/26	Q3 2026	$299,000	$42,933	In progress
Fire alarm panel upgrade	Life Safety	06/19/24	Q4 2027	$683,000	$426,563	Approved
Storefront glazing	Interior	10/02/23	Q2 2025	$505,000	$350,681	Complete
Elevator modernization	Interior	02/15/25	Q1 2027	$160,000	$102,834	Complete
Parking lot resurfacing	Life Safety	12/03/23	Q1 2027	$444,000	$228,012	Complete
Pool resurfacing	Building	01/10/23	Q4 2025	$377,000	$312,628	Deferred
Security camera upgrade	Energy	06/07/25	Q3 2027	$312,000	$119,742	Bidding
Unit interior upgrades	Site	12/13/25	Q4 2025	$682,000	$88,193	Deferred
Storefront glazing	Building	02/17/24	Q3 2026	$402,000	$109,065	Bidding
Fence replacement	Life Safety	07/24/23	Q3 2027	$724,000	$325,838	Bidding
Unit interior upgrades	Interior	12/21/25	Q1 2026	$886,000	$228,214	In progress
Signage / monument	Building	04/26/24	Q2 2026	$97,000	$30,560	Bidding
Amenity renovation	Energy	08/04/24	Q4 2025	$320,000	$143,123	Deferred
Lobby renovation	Energy	08/24/23	Q1 2025	$894,000	$65,712	Complete
Unit interior upgrades	Building	06/11/23	Q4 2025	$775,000	$51,484	Approved
Roof replacement - Bldg B	Site	07/19/24	Q4 2025	$548,000	$206,984	Deferred
LED lighting retrofit	Building	07/17/23	Q3 2026	$201,000	$171,751	Bidding
Pool resurfacing	Building	07/03/23	Q2 2025	$764,000	$97,124	Approved
Signage / monument	Interior	12/03/26	Q4 2027	$53,000	$6,104	Complete
Roof replacement - Bldg B	Life Safety	10/22/25	Q2 2025	$562,000	$273,728	In progress
Pool resurfacing	Building	08/29/25	Q2 2027	$839,000	$497,483	In progress
Storefront glazing	Interior	08/17/24	Q4 2025	$58,000	$12,260	Complete
Security camera upgrade	Energy	05/15/26	Q1 2026	$251,000	$161,730	Deferred
Unit interior upgrades	Life Safety	10/14/26	Q1 2027	$267,000	$43,651	Approved

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Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $440,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $174,000 per home, and the in-house maintenance team handles most work orders within 37 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,701 square feet with average monthly rent of $1,845.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $15,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.8% with an equity multiple of 1.22x over the hold period. Turn costs average $454,000 per home, and the in-house maintenance team handles most work orders within 25 days.

Homes average 1,701 square feet with average monthly rent of $1,845. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $32,000 per home, and the in-house maintenance team handles most work orders within 23 days. Projected levered IRR is 6.9% with an equity multiple of 1.11x over the hold period.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $134,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Interior	06/26/26	Q3 2025	$210,000	$147,287	Bidding
Pool resurfacing	Interior	08/01/24	Q2 2025	$839,000	$707,425	Bidding
Sewer line repair	Building	01/24/25	Q1 2025	$332,000	$335,578	In progress
Security camera upgrade	Life Safety	11/18/25	Q2 2025	$414,000	$68,671	In progress
LED lighting retrofit	Interior	04/01/25	Q4 2025	$61,000	$48,998	Approved
Fire alarm panel upgrade	Site	01/17/24	Q3 2027	$521,000	$201,009	Deferred
Pool resurfacing	Energy	05/13/24	Q3 2026	$703,000	$701,809	In progress
Pool resurfacing	Life Safety	12/24/26	Q4 2025	$469,000	$349,101	In progress
Storefront glazing	Building	03/11/25	Q1 2027	$38,000	$27,403	Bidding
Fire alarm panel upgrade	Building	06/10/23	Q1 2027	$834,000	$483,405	Complete
Sewer line repair	Building	02/11/23	Q2 2027	$409,000	$356,465	Approved
Storefront glazing	Site	10/15/25	Q2 2027	$457,000	$127,073	Bidding
Exterior paint	Interior	10/03/24	Q2 2027	$497,000	$429,672	In progress
Parking lot resurfacing	Energy	06/25/25	Q1 2025	$593,000	$405,791	In progress
Sewer line repair	Life Safety	04/12/25	Q4 2026	$120,000	$121,118	Deferred
Landscape / irrigation	Interior	02/21/24	Q2 2026	$413,000	$70,603	Approved
Unit interior upgrades	Life Safety	01/28/26	Q4 2025	$236,000	$85,852	Bidding
Roof replacement - Bldg A	Energy	06/21/23	Q3 2027	$616,000	$568,120	Deferred
Parking lot resurfacing	Site	04/12/23	Q2 2027	$707,000	$543,458	Complete
Amenity renovation	Building	11/06/26	Q1 2027	$795,000	$655,015	Complete
Elevator modernization	Life Safety	06/22/24	Q1 2027	$211,000	$172,910	Deferred
HVAC replacement	Energy	06/23/23	Q3 2026	$206,000	$55,493	Bidding
Sewer line repair	Building	08/22/26	Q1 2027	$698,000	$437,272	Deferred
HVAC replacement	Site	08/19/24	Q2 2027	$337,000	$86,314	Approved
Parking lot resurfacing	Life Safety	12/21/26	Q1 2026	$414,000	$172,776	Bidding
HVAC replacement	Interior	02/20/25	Q1 2026	$350,000	$277,062	In progress
ADA compliance	Life Safety	03/23/25	Q3 2026	$427,000	$78,632	Bidding
LED lighting retrofit	Life Safety	04/11/26	Q1 2027	$824,000	$700,715	Approved
Parking lot resurfacing	Life Safety	08/16/23	Q2 2027	$746,000	$173,195	Approved
Exterior paint	Life Safety	10/28/24	Q2 2027	$586,000	$513,366	Complete
Security camera upgrade	Building	09/01/23	Q2 2025	$20,000	$603	In progress
Amenity renovation	Life Safety	05/12/23	Q4 2027	$633,000	$417,798	Deferred
Signage / monument	Energy	12/08/23	Q4 2026	$704,000	$394,443	Approved
Roof replacement - Bldg B	Interior	06/22/23	Q2 2025	$716,000	$75,343	Bidding
Elevator modernization	Life Safety	09/06/25	Q4 2025	$819,000	$262,767	In progress
Lobby renovation	Life Safety	08/27/25	Q3 2026	$317,000	$202,022	Bidding
Amenity renovation	Building	04/07/25	Q2 2027	$204,000	$59,911	Deferred
Lobby renovation	Site	08/05/25	Q4 2026	$37,000	$21,388	Approved
Amenity renovation	Life Safety	03/07/25	Q4 2026	$334,000	$125,618	In progress
Roof replacement - Bldg C	Life Safety	10/29/23	Q1 2027	$188,000	$174,634	Complete

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Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 8 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $397,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $61,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Projected levered IRR is 7.4% with an equity multiple of 1.48x over the hold period. Turn costs average $19,000 per home, and the in-house maintenance team handles most work orders within 35 days.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Turn costs average $378,000 per home, and the in-house maintenance team handles most work orders within 11 days.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $82,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $139,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $162,000 per home, and the in-house maintenance team handles most work orders within 6 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Projected levered IRR is 4.7% with an equity multiple of 1.38x over the hold period. Homes average 1,701 square feet with average monthly rent of $1,845. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $377,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Life Safety	04/27/24	Q4 2026	$400,000	$117,745	In progress
Sewer line repair	Site	08/03/24	Q3 2027	$297,000	$176,217	In progress
Pool resurfacing	Energy	01/29/26	Q2 2026	$26,000	$5,327	Deferred
Unit interior upgrades	Site	04/21/25	Q1 2026	$101,000	$51,195	Approved
Elevator modernization	Site	05/23/24	Q1 2026	$193,000	$36,957	Approved
Security camera upgrade	Building	10/12/24	Q2 2027	$736,000	$340,214	Bidding
Unit interior upgrades	Energy	09/27/25	Q3 2025	$77,000	$29,675	Approved
Elevator modernization	Energy	04/24/25	Q4 2025	$591,000	$96,807	In progress
Security camera upgrade	Energy	04/30/26	Q1 2025	$509,000	$267,409	In progress
Lobby renovation	Site	02/16/26	Q4 2026	$619,000	$640,197	Complete
Elevator modernization	Building	06/13/25	Q3 2027	$116,000	$98,340	Deferred
Landscape / irrigation	Site	12/15/23	Q3 2026	$30,000	$26,105	In progress
Storefront glazing	Building	11/06/23	Q1 2025	$86,000	$38,961	Deferred
Pool resurfacing	Building	04/04/26	Q4 2027	$193,000	$53,072	Bidding
Amenity renovation	Building	11/14/25	Q4 2025	$560,000	$578,747	Approved
Amenity renovation	Energy	02/05/23	Q2 2025	$569,000	$104,581	In progress
Landscape / irrigation	Life Safety	11/26/24	Q1 2027	$480,000	$92,852	Complete
Fence replacement	Interior	09/05/25	Q2 2027	$827,000	$527,827	In progress
Exterior paint	Life Safety	07/25/25	Q3 2026	$148,000	$113,388	Deferred
Landscape / irrigation	Site	07/30/24	Q2 2027	$298,000	$86,878	In progress
Amenity renovation	Building	11/24/24	Q1 2027	$23,000	$8,499	Deferred
Fence replacement	Site	12/28/24	Q2 2027	$370,000	$282,720	Bidding
Signage / monument	Building	05/18/24	Q2 2025	$10,000	$3,355	Bidding
Lobby renovation	Energy	11/19/25	Q3 2025	$509,000	$283,130	Deferred
Signage / monument	Energy	07/06/25	Q1 2025	$787,000	$685,802	In progress
Exterior paint	Site	05/26/23	Q4 2027	$58,000	$59,468	Complete
Pool resurfacing	Site	09/08/26	Q1 2025	$293,000	$153,107	Deferred
Roof replacement - Bldg D	Interior	02/17/26	Q4 2025	$896,000	$356,687	Bidding
Signage / monument	Building	05/26/23	Q4 2027	$657,000	$33,138	Approved
Exterior paint	Interior	01/19/25	Q4 2027	$731,000	$35,836	Complete
Water heater replacement	Energy	12/14/25	Q1 2026	$264,000	$186,405	In progress
Security camera upgrade	Building	07/24/25	Q4 2025	$34,000	$33,856	Bidding
Unit interior upgrades	Site	04/12/25	Q1 2025	$210,000	$67,162	Approved
Pool resurfacing	Interior	04/22/24	Q1 2026	$839,000	$373,517	Approved
Amenity renovation	Site	01/09/24	Q2 2027	$351,000	$253,059	Deferred
Amenity renovation	Site	01/27/26	Q2 2025	$887,000	$267,227	Deferred
Pool resurfacing	Energy	08/11/25	Q4 2025	$625,000	$297,052	Approved
Water heater replacement	Life Safety	03/06/24	Q2 2027	$677,000	$93,527	Complete
Landscape / irrigation	Life Safety	02/26/24	Q4 2025	$416,000	$331,129	Bidding
Roof replacement - Bldg C	Life Safety	01/01/25	Q3 2025	$582,000	$511,554	Complete
LED lighting retrofit	Building	02/11/23	Q3 2025	$272,000	$145,661	Bidding

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Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 8 years ago and are operating without deficiency.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $242,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Elevators were last modernized 10 years ago and are operating without deficiency.

Investment Overview

Turn costs average $438,000 per home, and the in-house maintenance team handles most work orders within 32 days. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Homes average 1,701 square feet with average monthly rent of $1,845. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. Turn costs average $399,000 per home, and the in-house maintenance team handles most work orders within 45 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $91,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $446,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Homes average 1,701 square feet with average monthly rent of $1,845.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.8% with an equity multiple of 1.27x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $379,000. Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Energy	11/10/26	Q4 2026	$689,000	$246,200	Bidding
Landscape / irrigation	Interior	06/24/24	Q1 2027	$735,000	$474,553	Complete
Fence replacement	Building	08/23/24	Q1 2026	$18,000	$852	Bidding
Storefront glazing	Site	02/24/23	Q1 2026	$30,000	$6,964	Approved
Pool resurfacing	Energy	08/04/25	Q3 2025	$726,000	$373,339	Bidding
HVAC replacement	Site	04/03/25	Q1 2025	$75,000	$50,119	Bidding
Unit interior upgrades	Building	05/26/23	Q3 2026	$362,000	$273,127	Approved
Lobby renovation	Building	09/04/23	Q1 2027	$434,000	$5,076	Complete
Elevator modernization	Energy	02/22/25	Q1 2027	$746,000	$354,821	Approved
Elevator modernization	Site	06/21/23	Q3 2026	$407,000	$140,710	Complete
Unit interior upgrades	Energy	09/30/26	Q2 2026	$538,000	$64,718	Bidding
Sewer line repair	Building	07/06/26	Q2 2026	$571,000	$548,653	Complete
Exterior paint	Interior	07/06/26	Q1 2027	$808,000	$187,040	Approved
Exterior paint	Interior	03/28/23	Q1 2025	$371,000	$158,532	Approved
Exterior paint	Interior	10/27/24	Q3 2025	$205,000	$65,426	Approved
Amenity renovation	Building	09/06/24	Q4 2027	$822,000	$196,253	Complete
Lobby renovation	Life Safety	03/11/24	Q4 2025	$726,000	$553,213	Complete
Signage / monument	Interior	07/04/23	Q3 2025	$86,000	$52,091	Deferred
HVAC replacement	Energy	01/23/24	Q4 2025	$37,000	$31,284	Bidding
ADA compliance	Life Safety	03/03/24	Q1 2025	$521,000	$438,361	Approved
Elevator modernization	Building	01/25/26	Q1 2026	$813,000	$817,627	Complete
Parking lot resurfacing	Interior	08/04/23	Q2 2025	$456,000	$327,039	Bidding
Amenity renovation	Building	08/26/23	Q4 2026	$794,000	$427,156	Approved
Storefront glazing	Energy	10/10/24	Q3 2025	$589,000	$617,269	In progress
Landscape / irrigation	Site	12/26/23	Q3 2026	$506,000	$158,911	Bidding
Lobby renovation	Site	04/08/26	Q4 2027	$618,000	$401,806	In progress
Elevator modernization	Building	02/15/24	Q4 2027	$747,000	$183,184	Approved
Storefront glazing	Energy	12/31/24	Q1 2026	$257,000	$99,647	Approved
Water heater replacement	Life Safety	02/28/25	Q1 2025	$665,000	$119,884	Approved
Door hardware	Interior	09/14/23	Q4 2025	$520,000	$305,307	Bidding
Unit interior upgrades	Energy	08/05/24	Q2 2027	$404,000	$289,766	In progress
Exterior paint	Site	01/10/25	Q2 2025	$529,000	$326	Deferred
ADA compliance	Life Safety	01/24/25	Q3 2025	$643,000	$596,211	Complete
Fire alarm panel upgrade	Energy	06/25/25	Q2 2025	$482,000	$488,969	Deferred
LED lighting retrofit	Energy	07/13/24	Q4 2027	$296,000	$251,694	Approved
Pool resurfacing	Energy	02/01/24	Q3 2026	$682,000	$27,333	In progress
Fence replacement	Building	11/22/23	Q2 2027	$220,000	$205,941	Approved
Landscape / irrigation	Interior	01/19/24	Q4 2025	$376,000	$219,166	Complete
Unit interior upgrades	Building	09/17/25	Q2 2027	$319,000	$101,169	In progress
Landscape / irrigation	Site	08/03/25	Q3 2025	$384,000	$328,164	Bidding
Lobby renovation	Interior	01/20/25	Q3 2027	$769,000	$399,008	In progress
Sewer line repair	Interior	10/03/26	Q2 2027	$665,000	$563,620	Bidding
Sewer line repair	Site	02/12/23	Q3 2025	$707,000	$426,834	Bidding

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Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Elevators were last modernized 5 years ago and are operating without deficiency.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $221,000.

Business Plan Progress

Turn costs average $89,000 per home, and the in-house maintenance team handles most work orders within 35 days. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $42,000 per home, and the in-house maintenance team handles most work orders within 21 days. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Homes average 1,701 square feet with average monthly rent of $1,845.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $27,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Risk Considerations

Homes average 1,701 square feet with average monthly rent of $1,845. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Turn costs average $453,000 per home, and the in-house maintenance team handles most work orders within 9 days. Projected levered IRR is 4.4% with an equity multiple of 1.22x over the hold period.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Turn costs average $377,000 per home, and the in-house maintenance team handles most work orders within 34 days. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $419,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg A	Life Safety	02/07/23	Q3 2025	$12,000	$7,262	Approved
Sewer line repair	Interior	08/15/26	Q4 2026	$707,000	$176,692	Approved
Storefront glazing	Site	09/14/26	Q1 2027	$379,000	$301,639	Bidding
Elevator modernization	Life Safety	12/31/26	Q3 2025	$704,000	$190,532	Deferred
Security camera upgrade	Interior	12/12/26	Q3 2026	$667,000	$23,734	Approved
Elevator modernization	Site	07/14/25	Q2 2025	$613,000	$487,826	Approved
Landscape / irrigation	Interior	11/03/26	Q4 2026	$36,000	$29,942	In progress
Lobby renovation	Energy	01/11/25	Q2 2027	$890,000	$431,131	Complete
Sewer line repair	Interior	05/20/26	Q1 2025	$279,000	$211,901	Bidding
Amenity renovation	Energy	04/08/26	Q3 2025	$90,000	$43,079	Complete
Amenity renovation	Interior	01/09/24	Q1 2025	$617,000	$23,585	In progress
Roof replacement - Bldg D	Interior	11/27/23	Q2 2027	$8,000	$2,580	Bidding
Roof replacement - Bldg C	Building	02/27/26	Q2 2026	$168,000	$118,414	In progress
Parking lot resurfacing	Building	04/04/26	Q3 2025	$42,000	$4,386	In progress
Elevator modernization	Life Safety	06/09/26	Q3 2025	$264,000	$51,266	Bidding
Elevator modernization	Life Safety	10/23/26	Q4 2027	$256,000	$221,418	Bidding
Water heater replacement	Life Safety	12/11/24	Q1 2026	$646,000	$465,221	Bidding
Landscape / irrigation	Life Safety	07/14/26	Q2 2027	$376,000	$234,807	In progress
Roof replacement - Bldg D	Site	12/15/26	Q3 2027	$246,000	$230,420	Approved
Exterior paint	Life Safety	10/08/24	Q4 2026	$709,000	$700,934	Bidding
Lobby renovation	Site	04/23/25	Q3 2026	$352,000	$83,812	Complete
Lobby renovation	Site	12/11/24	Q1 2027	$506,000	$287,302	In progress
Security camera upgrade	Life Safety	09/19/26	Q2 2026	$781,000	$478,412	Approved
HVAC replacement	Life Safety	07/16/24	Q1 2027	$18,000	$17,499	Bidding
Pool resurfacing	Energy	11/07/25	Q2 2025	$736,000	$377,656	Bidding
Exterior paint	Energy	09/21/23	Q3 2025	$634,000	$271,349	Complete
LED lighting retrofit	Life Safety	12/05/24	Q2 2025	$798,000	$830,010	Approved
Water heater replacement	Life Safety	12/12/25	Q4 2027	$593,000	$193,128	In progress
LED lighting retrofit	Life Safety	06/22/26	Q3 2027	$772,000	$566,809	Deferred
Exterior paint	Site	03/14/23	Q2 2025	$713,000	$639,975	Complete
Landscape / irrigation	Site	05/01/25	Q4 2027	$32,000	$23,050	Approved
HVAC replacement	Energy	01/24/26	Q2 2026	$866,000	$876,252	Bidding
Security camera upgrade	Energy	09/30/23	Q4 2027	$152,000	$53,961	In progress
Elevator modernization	Site	02/13/26	Q4 2027	$805,000	$465,181	In progress
Elevator modernization	Energy	08/07/25	Q4 2026	$547,000	$47,504	Bidding
Door hardware	Building	05/09/25	Q2 2026	$462,000	$245,915	In progress
Water heater replacement	Life Safety	12/02/26	Q4 2026	$438,000	$168,260	Deferred
LED lighting retrofit	Energy	07/26/26	Q3 2025	$800,000	$246,921	Deferred
Sewer line repair	Life Safety	04/09/26	Q2 2027	$839,000	$841,336	Complete
Security camera upgrade	Building	05/22/26	Q2 2025	$85,000	$85,889	Deferred

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Summary and Notes

Operating Performance

The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,701 square feet with average monthly rent of $1,845. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $187,000, representing a 4.1% increase over the prior year. Turn costs average $190,000 per home, and the in-house maintenance team handles most work orders within 24 days. Debt service coverage ratio was 7.03x on a trailing basis against a covenant minimum of 1.20x.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 7.74x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $97,000 per home, and the in-house maintenance team handles most work orders within 38 days. Effective gross income for the trailing period was $60,000, representing a 8.9% increase over the prior year.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Homes average 1,701 square feet with average monthly rent of $1,845. Service requests are tracked through a work-order system with an average completion time of 37 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.2% of billed charges, with bad debt of 3.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

Service requests are tracked through a work-order system with an average completion time of 45 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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